



**"We help businesses market their services/products to a large audience, through a deal that runs for a short period of time, and only pay for the customer when he/she has bought the service or product. Not a penny before"**

– Ankur Warikoo  
CEO, Crazeal (India unit of Groupon)

who runs a deal with them. "Also each merchant gets a unique login to track the performance of the deal. At all times, the PSM works closely with the merchant to solve issues, help with payments, with customer queries, etc. The payments start from the day the deal goes live, based on customer redemptions," says Warikoo.

The pay-first model eliminates the issue of defaulters. On the contrary, if the deal is not honoured, most of the popular deals sites will offer a 100 per cent refund.

## Location, location, location!

Group-buying and deal-a-day sites are quite hyper-local in nature. When you visit such sites, the first thing you will be asked for is an email address and the next will be your location. Once you enter the location, the emails you will get daily will pertain to discounts being offered for services and products in and around your region. Majority of these sites are currently operable in metro cities such as Mumbai, Delhi, Kolkata, Chennai, Hyderabad, Bangalore, Ahmedabad and so on. For services it is a straightforward reason – the vendors or service providers are in your locality. You cannot offer a discount in a Mumbai salon to a user in Nashik. Some of the web sites even break up these cities into regions. For instance we found some web sites which ask for location preference after the *Enter City* query. Say you want deals only from vendors or service providers based in South Mumbai, then that facility is also available. In the end it's all about location. So have deal-sites thought of entering the interiors of the country?

"I personally feel that there is very little volume outside the top 10 cities as far as local business listings is concerned. However, for an e-commerce vendor, there is a huge demand from Tier-II and III cities.

If you are looking at pure daily deal sites which provides services, you are restricted to top 10 cities. There are some players who are trying all the cities, but I really don't know what's their ROI on that," says Farooqui justifying Dealface's policy to concentrate only on city-based deals.

## Read fine print carefully

A lot of the deals may come with certain terms and conditions, so you need to be aware of them before you buy the deal. For instance, we recently saw a deal online which said "Get a ₹600 discount voucher from Woodland for ₹99 which can be redeemed on their web site." So far so good. But when we read the terms and conditions, it clearly stated that the offer is valid ONLY on purchases above ₹2,500. So you will have to spend a minimum of ₹2,000 to get effectively ₹500 off.

It is very important to be aware of such fine prints before being impressed with the number of people buying that deal or the heavy-duty discount.

## The future

This segment is red-hot at present and daily-deal sites comprise India's fastest growing web-vertical. According to comScore, the coupon business is 16.5 per cent of the total e-commerce business! There are many players in the market beating each other down when it comes to costs. But will such a model survive? What is the future for such sites?

Many established players foresee a lot of consolidation in the space. "In the last few months, various internet deal sites have either shut shops or have been acquired or altered their business model as they found their original deal model unsustainable. The number of serious deal sites in India has now come down to four or five, from around 40 in 2010," says Warikoo.

Farooqui, on the other hand feels that there will be a clear demarcation between deal-sites and product-based e-commerce sites. "With FDI coming in, it will be difficult for product-based e-commerce sites to deal with the likes of Amazon. But when it comes to stuff like a local salon or a local restaurant who want to promote their services, it is very well suited for us. Right now it is all hotch-potch. Having a get-rich-quick strategy in this field will not help anyone, those kind of players will likely get absorbed," says Farooqui.

Specialisation of deal-sites based on verticals – such as having dedicated site for travel packages or gadgets or spa visits and so on also looks bleak. Most of the sites we spoke did not foresee their site going extremely niche with verticals when offering deals. 



**"We have already seen a lot of churn in the pure play group buying players. A lot of smaller companies have shut shop (the biggest casualty being Taggle). Many other popular group buying players are shifting their focus on products and e-retail, as they see a bigger opportunity there"**

– Anurag Aggarwal  
CEO, Khojguru Infotech Pvt. Ltd.